

QUALIFICATION PROGRAMME

Professional Module 12

Business Finance

SECOND EDITION (June 2025 and December 2025 Supplement)



Hong Kong Institute of
Certified Public Accountants
香港會計師公會



Hong Kong's
CPA Qualification
香港會計師專業資格



PROFESSIONAL MODULE 12

BUSINESS FINANCE

JUNE 2025 AND DECEMBER 2025 SUPPLEMENT



Hong Kong Institute of
Certified Public Accountants
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Second edition Supplement (June 2025 and December 2025)

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**CHANGES AT A GLANCE**

Introduction	iv
PART A: IDENTIFIED ERRATA	1
CHAPTER 7: Long-Term Financial Management	1
CHAPTER 8: Performance Measurement	2
CHAPTER 9: Risk Management	3
CHAPTER 10: Business Valuation	3
CHAPTER 11: Business Combination	4
CHAPTER 14: Regulatory Environment	4
PART B: TECHNICAL UPDATES	7
CHAPTER 14: Regulatory Environment	7
CHAPTER 16: Environmental, Social and Governance (ESG)	12



This Supplement is to be used in conjunction with the second edition of the Professional Module 12, *Business Finance*, and it will bring you fully up to date with developments up to 31 May 2024, the cut-off date for examinable contents for the June 2025 and December 2025 examinations.

The Supplement comprises a technical update on developments that will be examinable in June 2025 and December 2025 examination sessions that are not currently covered in the Professional Module. The topics covered are listed on the contents page, and again are covered in chapter order.

In each case the text in the Supplement explains how the professional module is affected by the change, for example whether the new material should be read in addition to the current material in the professional module or whether the new material should be regarded as a replacement.

Good luck with your studies!

PART A: IDENTIFIED ERRATA

Chapter 7	Long-term Financial Management
Illustrative Example 1, Page 458	The last sentence of illustrative Example 1 should read: The post-tax cost of debt = $0.0694 \times (1 - 0.1650) = 0.057949$ or 5.79%.
Section 7.4.1.1, Page 541	From first paragraph to third paragraph, it should read: As discussed in Section 7.2.1.4, entities can be either unleveraged (i.e., zero debt and 100% equity) or leveraged (i.e., have some combination of debt and equity). Modigliani-Miller Proposition I states that, in the absence of taxes, the value of a levered firm equals the value of an otherwise identical unlevered firm. If the entity has no debt, then the value of the entity will be equal to the value of equity and the return on an entity's assets is equal to the return on an entity's equity. In an M&M world without taxation, the value of an unleveraged and leveraged firm are the same despite the differences in their capital structure. If a Levered firm is identical to an Unlevered firm in every way except its capital structure and neither firm pays taxes, in an M&M world without taxation the value of the two firms should be equal. If M&M Proposition 1 is extended and applied with corporate taxes, then the value of a leveraged entity will be equal to the value of the unleveraged entity plus the value of the interest tax shield. This can be shown as: $V_A^L = \frac{EBIT_{T+1} \times (1 - T_c)}{k_A} = V_A^U + V_D \times T_c = (V_E + V_D) + V_D \times T_c$ where V_A^L = the market value of the assets of a leveraged entity V_A^U = the market value of the assets of an unleveraged entity (which is equivalent to the pre-tax value of the firm ($V_E + V_D$))

As shown below in Exhibit 7.10, as the level of debt increases, the tax shield afforded by the debt also increases and the value of the entity consequently increases in the tax shield. Again, it is important to recall that the value of an unleveraged and leveraged firm are identical in the M&M pre-tax world. Hence in Exhibit 7.10, the value of the firm in a pre-tax world with no debt (V_A^U) is equivalent to the value of the firm in a pre-tax world with both equity and debt ($V_E + V_D$).

**Illustrative
Example 13, Page
543**

In the answer 1, the second paragraph of illustrative Example 13 should read:

Using the weightings above, the pre-tax WACC for Success College Ltd is calculated as follows:

$$\begin{aligned} \text{WACC}_{\text{Pre-tax}} &= \frac{V_E}{V_{D1} + V_{D2} + V_E} k_E + \frac{V_{D1}}{V_{D1} + V_{D2} + V_E} k_{D1} + \frac{V_{D2}}{V_{D1} + V_{D2} + V_E} k_{D2} \\ &= 0.50 \times 0.1825 + 0.15 \times 0.0550 + 0.35 \times 0.0650 = 0.12225 \text{ or } 12.23\% \end{aligned}$$

**Answers to
Knowledge Check
Questions, Page
572**

The answer of Question 13 should read:

Using M&M assumptions (including zero taxation) the return of equity (R_e) is related to the return on assets (R_a), the return on debt (R_d) and the level of leverage ($\frac{D}{E}$) as follows:

$$R_e = R_a + \frac{D}{E} (R_a - R_d)$$

Given Harbour Lights Software (HLS) currently has zero debt, using M&M assumptions, the return on equity (R_e) is equal to the return on assets (R_a). Hence $R_a = 12.40\%$.

If HLS's leverage is increased to 20%, HLS's R_e will increase to reflect the increase in leverage.

$$R_e = 0.1240 + 0.20(0.1240 - 0.0725) = 0.1343 \text{ or } 13.43\%$$

The revised return on equity will be 13.43%.

Chapter 8

Performance Measurement

**Section 8.4.5.2,
Page 669**

The last sentence of the sixth paragraph should read:

Broadly stated, risk appetite reflects the level of risk that the organisation is prepared to tolerate in pursuing its goals before intervention is deemed necessary to minimize the risk.

Chapter 9	Risk Management
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Apply and Analyse 8, Page 763

The third paragraph should read:

Audio Plus's required rate of return (WACC) is 25%, the new plant's life is 5 years and will cost HK\$1,000,000 to build and cash flow forecasts are HK\$450,000 in year one and HK\$500,000 in years 2 to 5 inclusive. We are also told that the accounting profit for the first year is HK\$250,000 and this increases by 10% on each year thereafter.

Section 9.4.5, Page 784

The first sentence of last paragraph should read:

ERM provides a unified snapshot of the entity's financial and non-financial risks.

Chapter 10	Business Valuation
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Illustrative Example 11, Page 891

In the answer 1, the first paragraph of illustrative Example 11 should read:

The CAGR is the annual compounded rate that causes GNP's FCFF to increase from HK\$131.529 million to HK\$156.215 million.

Exhibit 10.8, Page 906

The table of Exhibit 10.8 should read:

Persistent earnings	Earnings multiple
Sales	EV/Sales
EBITDA	EV/EBITDA
EBIT	EV/EBIT
NOPAT	EV/NOPAT
Net Income	EV/Net Profit

Illustrative Example 15, Page 909

The answer 2 of illustrative Example 15 should read:

The BEC share price is currently HK\$5.00 per share.

The P/E multiple can be calculated as follows:

$$\frac{P}{E} = \frac{P}{\text{EPS}} = \frac{\text{HK\$5.00}}{\text{HK\$1.01}} = 4.95050 \approx 4.95 \text{ times}$$

**Section 10.4.4.1,
Page 911**

The second bullet point of first paragraph should read:

Financial leverage also affects the P/BV ratio. It is generally considered that there is a negative relationship between the P/BV ratio and the level of leverage such that as the leverage ratio increased the P/BV ratio is observed to decrease. Empirical evidence suggests that the relationship is non-monotonic and as a result the impact of leverage on the P/BV ratio subject to the financing decisions made by a firm and the purpose to which the funds are applied. For example, increasing debt increases interest expense, lowers net profit and reduces shareholder control over the firm's investment and operational activities. In contrast, retained earnings can be used by a firm to invest in additional assets or to decrease existing debt thereby reducing leverage ratios and increasing cash flow from operations and overall profitability. Firms with higher market-to-book ratios are, on average, more profitable and face lower borrowing costs, which suggests that it is beneficial for them to raise more debt. However, debt financing increases when the P/BV ratio rises from low to medium and decreases when market-to-book ratio increases further from medium to high.

Chapter 11

Business Combination

**Section 11.3.4,
Page 977**

In first paragraph of section 11.3.4, the first sub-bullet point should read:

The RTO principle-based test codifies six assessment factors with modifications to changes in control and transactions such as acquisitions and disposals. The six assessment factors are the relative size of acquisition, fundamental change in the issuer's principal business, nature and scale of the issuer's business, quality of acquisition targets, change in control or de facto control of the listed issuer, change in de facto control arising from issue of restricted convertible securities and events and transactions which together with the acquisitions form a series of transactions and/or arrangements to circumvent the RTO Rules.

Chapter 14

Regulatory Environment

**Section 14.1.1,
Page 1110-1111**

The Volume II and III of the HKICPA Member's Handbook should read:

Volume II

- Hong Kong Accounting Standards (HKAS)
- Hong Kong Financial Reporting Standards (HKFRS)
- Hong Kong (IFRIC) Interpretations (HK(IFRIC)-Int)
- Hong Kong Interpretations (HK-Int)
- Hong Kong (SIC) Interpretations (HK(SIC)-Int)
- Hong Kong Financial Reporting Standards for Private Entities (HKFRS-PE)
- Small and Medium-Sized Entity Financial Reporting Framework and Financial Reporting Standard (SME-FRF & SME-FRS)
- Accounting Guidelines (AG)

- Accounting Bulletins (AB)
- HKFRS Practice Statement

Volume III

- Hong Kong Standards on Quality Management
- Hong Kong Standards on Quality Control
- Hong Kong Framework for Assurance Engagements
- Hong Kong Standards on Audit, Review, Assurance, Circular Reporting and Related Services

**Apply and
Analyse 1, Page
1125**

The Analysis part 1 should read:

1. HKICPA and AFRC

The HKICPA regulates the accounting profession and is overseen by the AFRC. The financial reporting, audit, tax, compliance and accounting functions of XYZ will be subject to the HKICPA and AFRC regulation and guidance.

**Key Learning
Point, Page 1127**

The Key Learning Point should read:

The major regulatory authorities relevant to a professional accountant in Hong Kong are the HKICPA, SFC, AFRC, HKMA, IA and HKEx.

The HKICPA regulates the accounting profession.

The AFRC investigates and enquires into potential auditing and financial reporting irregularities.

**Apply and
Analyse 2, Page
1142**

The Analysis should read:

You provide the following analysis to the management of XYZ Limited:

Based on our review of XYZ Limited, we have reached the conclusion that XYZ Limited does not satisfy the minimum requirements for listing on the Main Board.

With a three-year aggregate profit of HK\$59 million, XYZ Limited falls short of meeting the financial performance requirement, which stipulates that the three-year aggregate profit should exceed HK\$80 million.

Regarding the requirements on ownership structure and continuity, XYZ Limited satisfies the requirements with 415 investors, approximately 45% of which are owned by public investors and the ownership has not changed in the past ten years.

Listing on the Main Board also requires at least three independent directors controlling at least one third of the board of directors and XYZ Limited meets these requirements with four independent directors out of 12 total directors.

Additionally, the listing requires semi-annual financial reporting and XYZ Limited files quarterly audited financial reports.

Answers To exam Practice, Page 1159

The answer 1 of Question 1 should read:

You should advise the analyst that the most appropriate regulator to contact is the Accounting and Financial Reporting Council. One of the two main responsibilities of the AFRC is to conduct independent investigations into possible auditing and reporting irregularities in relation to listed entities.

**PART B: TECHNICAL UPDATES**

Chapter 14	Regulatory Environment
Section 14.2.3.1, Page 1138	The third paragraph should read: The minimum requirements for listing on the Main Board (see https://en-rules.hkex.com.hk/sites/default/files/net_file_store/HKEX4476_2301_VER2_4281.pdf) include the following: • Satisfaction of one of the following: ○ The profit test: Three-year aggregate profit of not less than HK\$80 million (not less than HK\$35 million in the latest year and not less than HK\$45 million in the two preceding years) and market capitalization of at least HK\$500 million; ○ The market capitalisation/revenue test: Latest year revenue of at least HK\$500 million and market capitalisation of at least HK\$4 billion; or ○ The market capitalisation/revenue/cash flow test: Latest year revenue of at least HK\$500 million, market capitalisation of at least HK\$2 billion and three-year aggregate operating cash flow of at least HK\$100 million. • A trading record at least three financial years. • Management continuity for at least the three preceding financial years. • Ownership continuity and control for at least the most recent audited financial year. • 25% minimum public float value, which represents the value of shares held by public investors (can reduce to 15% if market capitalisation is greater than HK\$10 billion). • Minimum of 300 shareholders. • At least three independent directors that control at least on third of the board. • Semi-annual financial reporting.
Section 14.2.3.1, Page 1140	Add the new listing regime for specialist technology companies with the following: <i>Listing Regime for Specialist Technology Companies</i>

With effect from 31 March 2023, a new chapter (“Chapter 18C”) has been added to the Main Board Listing Rules to provide a new listing pathway for Specialist Technology Companies.

Basic conditions for Listing of a Specialist Technology Company

The Specialist Technology Industries encompass various sectors that include:

- (a) Next-generation information technology,
- (b) Advanced hardware and software,
- (c) Advanced materials,
- (d) New energy and environmental protection, and
- (e) New food and agriculture technologies.

For detailed information on the specific sectors falling under each Specialist Technology Industry, please refer to the Guidance Letter HKEX-GL115-23.

An applicant that has applied for listing under Chapter 18C must, in addition to satisfying the requirements of this Chapter, also satisfy the requirements of Chapter 8 (other than rules 8.05, 8.05A and 8.05B).

To be eligible for listing under Chapter 18C, an applicant must fulfill the following requirements:

1. Qualification as a Specialist Technology Company: The applicant must demonstrate that it meets the definition of a Specialist Technology Company and is suitable for listing as either a Commercial Company or a Pre-Commercial Company.
 2. Operational Track Record: The applicant should have been operating in its current line of business for a minimum of three financial years before seeking listing, under substantially the same management.
 3. Initial Market Capitalisation: For a Commercial Company, the applicant must have an initial market capitalisation of at least HK\$6,000,000,000 at the time of listing. For a Pre-Commercial Company, the minimum initial market capitalisation required is HK\$10,000,000,000.
 4. Revenue Requirement: A Commercial Company must have generated revenue of at least HK\$250,000,000 in its most recent audited financial year.
 5. Research and Development (R&D) Duration: The applicant should have engaged in the research and development of its Specialist Technology Product(s) for a minimum of three financial years prior to listing.
 6. R&D Expenditure: The applicant must have allocated a specific percentage of its total operating expenditure to R&D for the specified period, based on its revenue category:
 - For a Commercial Company, R&D expenditure should be at least 15% of total operating expenditure.
-

-
- For a Pre-Commercial Company with revenue between HK\$150,000,000 and HK\$250,000,000 in its most recent audited financial year, R&D expenditure should be at least 30% of total operating expenditure.
 - For a Pre-Commercial Company with revenue less than HK\$150,000,000 in its most recent audited financial year, R&D expenditure should be at least 50% of total operating expenditure.
7. R&D Expenditure Ratio: The applicant's expenditure on R&D, both on a yearly basis for at least two of the three financial years prior to listing and on an aggregate basis over all three financial years, should be calculated as a percentage of its total operating expenditure for the same period.
8. Investment from Sophisticated Independent Investors: The applicant must have received significant investment from sophisticated independent investors.

In addition to the previously mentioned requirements, there are additional conditions specifically applicable to Pre-Commercial Companies seeking listing under Chapter 18C:

1. Credible Path to Commercialization: A Pre-Commercial Company must demonstrate to the Exchange and disclose in its listing document a credible plan for the commercialization of its Specialist Technology Product(s) that aligns with the relevant Specialist Technology Industry. This plan should indicate how the company expects to achieve the revenue requirement specified in rule 18C.03(4).
2. Adequate Working Capital: The Pre-Commercial Company must ensure that it possesses sufficient working capital to cover a minimum of 125% of its group's costs for a period of at least 12 months from the date of publication of its listing document. This calculation should take into account the proceeds from the company's initial listing. The costs to be considered should primarily consist of general, administrative, and operating costs (including production costs), as well as research and development expenses.

Allocation of Shares

The allocation of shares in the initial public offering (IPO) of a Specialist Technology Company follows specific guidelines:

1. Independent Price Setting Investors: At least 50% of the total shares offered in the IPO, excluding any shares to be issued through an over-allotment option, must be taken up by independent price setting investors in the placing tranche. These investors may be Cornerstone Investors or other qualified participants.
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2. Allocation in IPO with Placing and Public Subscription Tranches: In cases where the IPO of a Specialist Technology Company includes both a placing tranche (for independent price setting investors) and a public subscription tranche (for retail or general investors), the minimum allocation of shares to the public subscription tranche is determined as follows:
 - Initial Allocation: An initial allocation of 5% of the total shares offered in the IPO is reserved for the public subscription tranche.
 - Clawback Mechanism: A clawback mechanism is implemented to increase the allocation of shares to the public subscription tranche based on the total demand for shares, as follows:
 - When the total demand for shares in the subscription tranche is 10 times or more but less than 50 times the initial allocation, the number of shares allocated to the public subscription tranche is increased to 10%.
 - When the total demand for shares in the subscription tranche is 50 times or more the initial allocation, the number of shares allocated to the public subscription tranche is further increased to 20%.

Free Float and Offer Size

In addition to meeting the requirements set forth in rule 8.08(1), a Specialist Technology Company seeking an initial listing under this Chapter must fulfill the following conditions:

1. Free Float Requirement: The Company must ensure that a portion of its total issued shares listed on the Exchange, with a market capitalisation of at least HK\$600,000,000, are not subject to any disposal restrictions at the time of listing. These disposal restrictions may arise from contractual agreements, the Listing Rules, applicable laws, or any other relevant factors.
2. Meaningful Offer Size: The Exchange expects a Specialist Technology Company's listing to be accompanied by an offer of a significant size. This offer includes both the placing tranche (for independent price setting investors) and the public subscription tranche (for retail or general investors). The purpose of this requirement is to ensure that the offer size is substantial enough to facilitate price discovery and maintain an orderly market. The Exchange reserves the right to withhold approval for the listing of a Specialist Technology Company if the offer size is deemed insufficient or may give rise to concerns regarding market stability.

For more details, please refer to <https://en-rules.hkex.com.hk/rulebook/chapter-18c-specialist-technology-companies>

Section 14.2.3.2, Page 1141

The fourth paragraph should read:

The minimum requirement for listing on the GEM (see https://en-rules.hkex.com.hk/sites/default/files/net_file_store/HKEX4476_567_VE_R35932.pdf) include the following:

- Satisfaction of one of the following:
 - The cash flow test: At least HK\$30 million in aggregate for the two financial years and market capitalization of at least HK\$150 million; or
 - The market capitalisation/ revenue/ R&D test: market capitalization of no less than HK\$250 million; Revenue of at least HK\$100 million in aggregate for the last two financial years, with year-on-year growth over the two financial years; and R&D expenditure of at least HK\$30 million in aggregate for the last two financial years, where the R&D expenditure incurred for each financial year must be at least 15% of its total operating expenditure for the same period.
- A trading record at least two financial years.
- Management continuity for at least the two preceding financial years and up until the date of listing.
- Ownership continuity and control for at least the most recent financial year and up until the date of listing.
- 25% minimum public float value, which represents the value of shares held by public investors (can reduce to 15% if market capitalisation is greater than HK\$10 billion).
- Minimum of 100 shareholders.
- At least three independent directors that control at least one of third of the board.
- Semi-annual financial reporting.

Section 14.2.3.2, Page 1143

The fifth sentence of first paragraph should read:

To facilitate this requirement, Corporate Governance Code is incorporated into the Main Board Listing Rules (Appendix C1) and the GEM Listing Rules (Appendix C1), and therefore the Code applies to all issuers accordingly.

The second sentence of third paragraph should read:

Since 2016, the HKEX has required all companies listed on the HKEX to issue an ESG report in accordance with the HKEX listing rules (Appendix C2 for the Main Board and Appendix C2 for the GEM Board).

Section 14.2.6, Page 1148

The fourth sentence of third paragraph should read:

It is incorporated into the Main Board Listing Rules (Appendix C1) and the GEM Listing Rules (Appendix C1), and therefore the Code applies to all issuers accordingly.

EXHIBIT 14.3, Page 1151

The table in Exhibit 10.8 under the audit, internal, and risk management category should read as follows:

Audit, internal control, and risk management	Financial reporting	The Board should present a balanced, clear, and comprehensible assessment of the company's performance, position, and prospects.
	Risk management and internal control	The Board is responsible for evaluating and determining the nature and extent of risks it is willing to take in achieving the issuer's strategic objectives and ensuring that the issuer establishes and maintains appropriate and effective risk management and internal control systems. Such risks would include, amongst others, material risks relating to ESG (please refer to the ESG Reporting Guide in Appendix C2 to the Exchange Listing Rules for further information). The Board should oversee management in the design, implementation, and monitoring of the risk management and internal control systems, and management should provide a confirmation to the Board on the effectiveness of these systems.
	Audit Committee	The Board should establish formal and transparent arrangements to consider how it will apply financial reporting, risk management and internal control principles, and maintain an appropriate relationship with the issuer's auditors. The audit committee established under the Exchange Listing Rules should have clear terms of reference.

Source should read:

Adapted from the HKEX Listing Rules Appendix C1 Part 2 Principles of Good corporate governance, Code provisions and recommended best practices (<https://en-rules.hkex.com.hk/rulebook/part-2-principles-good-corporate-governance-code-provisions-and-recommended-best-practices>)

Chapter 16
Environmental, Social and Governance (ESG)
Section 16.1.2, Page 1227

The fourth and fifth paragraph should read:

The United Nations Conferences in 2015 and 2021 have drawn particular attention to the need for climate change action resulting from greenhouse gas emissions. The 2015 Sustainable Innovation Conference in Paris set out a framework for action aimed at stabilising atmospheric concentrations of greenhouse gases to avoid man-made interference with climate system. This conference had a goal to limit global warming to well below 2 degrees Celsius, preferably to 1.5 degrees Celsius, compared to pre-industrial levels. To achieve this long-term temperature goal, countries should aim to reach global peaking of greenhouse gas emissions as soon as possible to achieve a climate neutral world by mid-century.

At the 2021 Climate Change Conference in Glasgow, the Paris Agreement was extended with the adoption of the Glasgow Climate Pact. The agreement introduced a decade of proactive climate change action in the 2020s, including strengthening efforts to build resilience to climate change,

curbing greenhouse gas emissions, providing the necessary finance to support mitigation and adaptation efforts to developing countries, and working to reduce the existing gap between emission reduction plans and the necessary actions to limit global temperature rise to 1.5 degrees Celsius. Furthermore, for the first time, nations were called upon to phase down unabated coal power and inefficient subsidies for fossil fuels.

At the 2022 Climate Change Conference held in Sharm El Sheikh, significant resolutions were made, compelling every nation to intensify their endeavors in combating the climate crisis. The five essential highlights from the conference include: Establishing a dedicated fund for loss and damage;

- Maintaining a clear intention to keep 1.5 °C within reach;
- Holding businesses and institutions to account;
- Mobilizing more financial support for developing countries; and
- Making the pivot toward implementation.

Subsequently, at the 2023 Climate Change Conference held in Dubai, COP 28 was notable for concluding the initial global assessment of efforts to combat climate change under the Paris Agreement. The findings indicated that progress in reducing greenhouse gas emissions, enhancing climate resilience, and providing financial and technological support to vulnerable nations had been slow. As a result, countries resolved to intensify their actions by 2030, including transitioning from fossil fuels to renewable energy sources such as wind and solar power in their future climate commitments. Below, we explore the importance of this critical decision and highlight key developments from COP 28 that represent significant advances in the global fight against the climate crisis.

- Signaling the 'beginning of the end' for the fossil fuel era
- New funding for loss and damage
- Enhancing global efforts to strengthen resilience
- Linking climate action with nature conservation
- Ramping up practical climate solutions

For further details see <https://unfccc.int/cop28/5-key-takeaways>

Section 16.2.1.6, Page 1240

Add the introduction of IFRS S1 General Requirements for Disclosure of Sustainability-related Financial Information and IFRS S2 Climate-related Disclosures.

IFRS S1 is effective for annual reporting periods beginning on or after 1 January 2024 with earlier application permitted as long as IFRS S2 Climate-related Disclosures is also applied.

IFRS S1

IFRS S1 aims to mandate entities to provide disclosures regarding sustainability-related risks and opportunities that will aid users of general

purpose financial reports in their decision-making process concerning the allocation of resources to the entity. The entity's cash flows, financing accessibility, or cost of capital could conceivably be influenced over the short, medium or extended periods.

IFRS S1 outlines the guidelines for how an organization should compile and present sustainability-related financial information. It establishes the basic rules for what these reports should include and how they should be structured, ensuring that the disclosed data assists users when considering resource allocation to the entity.

An entity is required to provide disclosures about:

- a. the governance processes, controls and procedures the entity uses to monitor, manage and oversee sustainability-related risks and opportunities;
- b. the entity's strategy for managing sustainability-related risks and opportunities;
- c. the processes the entity uses to identify, assess, prioritise and monitor sustainability-related risks and opportunities; and
- d. the entity's performance in relation to sustainability-related risks and opportunities, including progress towards any targets the entity has set or is required to meet by law or regulation.

<https://www.ifrs.org/issued-standards/ifrs-sustainability-standards-navigator/ifrs-s1-general-requirements/>

IFRS S2

IFRS S2 aims to mandate entities to provide disclosures regarding their climate-related risks and opportunities, which will assist users of general purpose financial reporting in their decision-making processes concerning resource allocation to the entity. The entity's cash flows, financing accessibility, or cost of capital could conceivably be influenced over the short, medium or extended periods.

IFRS S2 applies to:

- a. climate-related risks to which the entity is exposed, which are:
 - i. climate-related physical risks; and
 - ii. climate-related transition risks; and
- b. climate-related opportunities available to the entity.

IFRS S2 requires an entity to disclose information that enables users of general purpose financial reports to understand:

- a. the governance processes, controls and procedures the entity uses to monitor, manage and oversee climate-related risks and opportunities;

- b. the entity's strategy for managing climate-related risks and opportunities;
- c. the processes the entity uses to identify, assess, prioritise and monitor climate-related risks and opportunities, including whether and how those processes are integrated into and inform the entity's overall risk management process; and
- d. the entity's performance in relation to its climate-related risks and opportunities, including progress towards any climate-related targets it has set, and any targets it is required to meet by law or regulation.

<https://www.ifrs.org/issued-standards/ifrs-sustainability-standards-navigator/ifrs-s2-climate-related-disclosures/>

Section 16.2.2, Page 1242

The fifth sentence of third paragraph should read:

For example, the HKEX Main Board Listing Rules specifies in Appendix C2 Environmental, Social and Governance Reporting Guide.

Section 16.6.2, Page 1297

The second paragraph should read:

As noted in the HKICPA Technical Bulletin AATB-5 (2022), since 2016 the HKEX has required all companies listed on the HKEX to issue an ESG report in accordance with its Environmental, Social and Governance reporting requirements as contained in the Appendices to the Main Board listing rules (Appendix C2) and GEM listing rules (Appendix C2).

Section 16.6.2, Page 1299

The second paragraph should read:

For example, Section B of Appendix 27 of the Main Board Listing Rules specifies the following areas where 'comply and explain' disclosure provisions exist that are expected unless they are not relevant to the firm in relation to a broad range of ESG issues as described below.

Answers to Knowledge Check Questions, Question 7, Page 1313

The first paragraph of answer should read:

The HKEX Main Board Listing Rules specifies in Appendix C2 Environmental, Social and Governance Reporting Guide that listed companies must prepare reports that have the following four reporting principles that to underpin the preparation of the ESG report, informing both the content of the report and how the report is presented:

Section 16.6.3.2, Page 1303

Add the two point in last paragraph about the development of green finance in Hong Kong with the following:

- In August 2022, the SFC published its Agenda for Green and Sustainable Finance to set out further steps to support Hong Kong as a regional green finance centre, with a focus on corporate disclosures, asset management and environmental, social and governance (ESG) funds, and carbon markets.
 - In April 2023, the SFC announced its commitment to achieve carbon neutrality before 2050, in line with the Government's strategy set out in Hong Kong's Climate Action Plan 2050. The SFC also announced an interim target to reduce 50% of its total carbon emissions by 2030.
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